

Time Value of Money

If you put \$100 in a safety deposit box today and took it out in 10 years, what would that \$100 be worth, after inflation? It's anybody's guess, but we can all agree it would likely be worth less. So even though it might still be a crisp \$100 bill, its value-its purchasing power-would have declined.

Now, let's say we invested that \$100 at a rate of 3% interest. At the end of 10 years, that \$100 would be worth \$134.39. Perhaps, given inflation, however, this would just be a break-even point. It's possible that \$134.39 would not buy any more in 10 years than \$100 can buy now-perhaps much less.

So, over time, money can either grow in value, or it can decrease in value. That's why investors look to maximize return on their investments while keeping investment risk manageable.